SPEECH OF THE JAPANSE CHAMBER OF COMMERCE & INDUSTRY (JCCI)
MIDTERM VIETNAM BUSINESS FORUM 2019

Presented by
Mr. Nobufumi Miura
Chairman

Your Excellency, the Prime Minister Mr. Nguyen Xuan Phuc,
Your Excellency, Mr. Nguyen Chi Dung, Minister of Planning and Investment,
Ladies and Gentlemen.

I am Nobufumi Miura, chairman of The Japanese Chamber of Commerce and Industry in Vietnam.

Today, I would like to talk about the importance of the improvement of business environment for "rapid & sustainable development" with the private sector, and the expectation on the investment from the private enterprises and how their role is growing in Vietnam. The improvement of business environment will promote the investment by the private parties, which will contribute to the further development of Vietnam. On behalf of JCCI, I would like to highlight three proposals – "PPP", "Supporting industries" and "Predictability in amendments of laws."

The first area is "PPP"

Since the public debt is reaching its limitation, Vietnam needs to promote the private parties' investment on infrastructure projects. However, the investors are exposed to significantly high risk in the current PPP scheme. In order to encourage the foreign enterprises' participation in PPP projects, it is instrumental that the Government clarifies the risk allocation between the Government and the private party and provides comprehensive support for private party to ensure a reasonable return from the investment.

We would like to request for adopting "Foreign currency exchange guarantee system" and applying "Foreign Law" as a governing law.

We believe the acceleration of PPP will boost the economic development in Vietnam.

Secondly, the Government is also expected to commit to develop "Supporting industries"

Last year, FDI into Vietnam reached an all-time high, owing to the sincere efforts by Vietnamese Government. Warmest congratulations on your achievement.

While FDI has mainly developed the manufacturing and assembling of finished products sectors, supporting industries have not been developed enough yet. It is extremely important to establish the core industry with international competitiveness for the rapid and sustainable development in Vietnam. The establishment of core industry also requires to strengthen the supporting industries in the value chain.

However, the supporting industries face the global cost-competition, and those supporting industries need further support from the Government to improve the productivity in Vietnam.

Specifically, your support is highly appreciated in providing incentives to the enterprises in supporting industries and for talent development.

Lastly, we would like to mention about "Predictability of the legal amendments"

In order to drive new industries including supporting industries, it is very important for the Government to align various laws & regulations with each other and apply them consistently and to ensure the predictability in the changes of law. The change in the laws or regulations in a short period of time and the unreasonable interpretation or application of regulations will disturb the stable business operations. It will increase the back office cost, which will lead to difficulties in establishing and running the industries.

For example, Vietnam is facing serious environmental concerns and various measures have been applied. We respect this movement in Vietnam, but some of the measures neither seem practical for companies to follow nor give companies enough time to prepare for the new laws.

We would like to request the Government to take appropriate measures on enacting and amending the laws and regulations and set the reasonable timeframe for the change.

We, JCCI, highly appreciate it if Vietnamese government would consider our proposal today so that Vietnam will become more attractive country for foreign investors.